

MODULAR ANNEX — REFERENCE-READY OPERATIVE ARCHITECTURE

ANNEX T

# Adaptive Stabilization and Compliance Resilience Matrix

*Sectoral Modularity, Proportional Stepback, and Verified Earnback*

SELF-CONTAINED • REFERENCE-READY ARCHITECTURE

Version 1.0 — Adaptive Compliance Architecture

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# PREAMBLE: PURVIEW AND GUIDING PRINCIPLES

## Purpose

This Annex establishes an adaptive compliance framework that preserves the structural integrity of the overall Accord during technical or localized disputes. Unlike the linear dependencies of Annex S, this Annex operates on three core principles: Sectoral Modularity, Proportional Rollback, and Verified Remediation ("Earnback").

## Three Guiding Principles

### 1. Sectoral Modularity

All operational commitments are organized into distinct, independent Compliance Modules. A failure within any single Module does not automatically impair, suspend, or invalidate any unrelated Module. The system continues executing all loaded modules.

### 2. Proportional Rollback ("Stepback")

Where either Party breaches, the Framework does not collapse. It pauses in graduated tiers: discretionary measures halt first, core constraints survive longest, and humanitarian protections remain in force regardless. No snapback. No automatic termination.

### 3. Verified Remediation ("Earnback")

Any Participant penalized under the Stepback Protocol retains an institutional, non-negotiable right to restore frozen benefits by fulfilling specific, verifiable technical benchmarks. Stepback is not punishment. It is a pause. Earnback is not forgiveness. It is verified performance.

## Background

Traditional sanctions architecture relies on "snapback" — the instantaneous, cascading reimposition of all sanctions upon any material breach. This model creates perverse incentives: it punishes technical errors with strategic collapse, discourages transparency about compliance problems, and provides no pathway for rapid restoration once a dispute is resolved. The Stepback/Earnback model replaces this paradigm with a resilient, modular architecture that survives disputes without rewarding violations.

## **Modularity Clause**

This Annex is self-contained, and the Parties incorporate it into any existing or future agreement through a single sentence of adoption. It does not amend or supersede conflicting provisions of any parent framework unless the Parties explicitly so agree. In the event of inconsistency, this Annex governs with respect to the graduated response to compliance deviations and the restoration of benefits upon verified remediation.

# ARTICLE I: STRUCTURAL MODULARITY AND SECTORAL FIREWALLS

OPERATIVE AND BINDING

## I.1 Separation of Compliance Sectors

For the purposes of this Annex, three distinct, independent Compliance Modules comprise all operational commitments:

| MODULE | SCOPE                             | KEY COMMITMENTS                                                                                                                             | STEPBACK PROTECTIONS                                                                                                                                                               |
|--------|-----------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Alpha  | Nuclear & Verification            | Cryptographic sensors, SHA-3 telemetry logging, site access, continuous monitoring, HEU custody verification, enrichment freeze             | Humanitarian escrow shielded; baseline IAEA access preserved; only discretionary Political Discretion Fund subject to freeze at Tier 2                                             |
| Beta   | Maritime & Transit Infrastructure | Freedom of navigation, transit contributions, de-escalation corridors, Hormuz transit permits, naval stand-off distances, IRGC-Navy hotline | Humanitarian cargo exemption non-revocable; JHTA advisory functions preserved; only discretionary blockade adjustments subject to rollback at Tier 3                               |
| Gamma  | Economic & Financial Escrows      | Discretionary political funds, humanitarian banking channels, asset management, SWIFT reconnection, sanctions waivers, escrow releases      | Humanitarian tranche (\$250M medicine/food) protected by Humanitarian Firewall; OFAC general licenses survive all tiers; only structural relief blocks subject to pause at Tier 2+ |

## I.2 Firewall Principle

A Technical Anomaly or Material Deviation occurring within any single Module is structurally firewalled. It does not automatically impair, suspend, or invalidate the operational status of any other unrelated Module.

Firewall operational rules:

- A Tier 2 deviation in Module Alpha (e.g., a sensor integrity issue) freezes only Module Alpha discretionary benefits. Module Beta maritime transit and Module Gamma humanitarian banking continue unaffected.
- A Tier 3 breach in Module Beta (e.g., a naval stand-off violation) triggers full Module Beta rollback but does not automatically affect Module Alpha nuclear verification or Module Gamma escrow operations unless the PCC certifies cross-module contamination.
- Cross-module contamination requires a separate PCC determination by consensus-minus-one vote, with written justification published to the transparency dashboard.
- The Humanitarian Firewall (Article II.4) survives all tiers across all modules. Medicine, food, and medical equipment channels remain operative regardless of compliance status.

| DEVIATION LOCATION     | MODULE ALPHA IMPACT                                    | MODULE BETA IMPACT                                            | MODULE GAMMA IMPACT                                     |
|------------------------|--------------------------------------------------------|---------------------------------------------------------------|---------------------------------------------------------|
| <b>Tier 1 in Alpha</b> | Mandatory consultation                                 | None                                                          | None                                                    |
| <b>Tier 2 in Alpha</b> | 30-Day Block pauses; Political Discretion Fund freezes | None (unless PCC certifies cross-contamination)               | Structural relief pauses for Alpha-linked tranches only |
| <b>Tier 3 in Beta</b>  | None (unless PCC certifies cross-contamination)        | Full escrow freeze; naval rollback; Guarantor Matrix referral | None (unless PCC certifies cross-contamination)         |
| <b>Tier 2 in Gamma</b> | None (unless PCC certifies cross-contamination)        | None (unless PCC certifies cross-contamination)               | 30-Day Block pauses; discretionary fund freezes         |

# ARTICLE II: THE STEPBACK PROTOCOL

## OPERATIVE AND BINDING

### II.1 Detection and Anomaly Logging

Upon verified data anomaly or compliance variance detection via the technical monitoring network, the PCC logs the event on the transparency dashboard within 2 hours of detection.

The PCC ledger records the following elements:

- Module identifier (Alpha, Beta, or Gamma)
- Anomaly classification level (Level 1 through Level 4, per Annex O)
- Sensor or verification source generating the flag
- Timestamp and geolocation (if applicable)
- Preliminary impact assessment (single-module or cross-module)

### II.2 The Human-in-the-Loop Review Window

A mandatory 24-hour Human-in-the-Loop review window activates before any automated penalty executes. The PCC reviews the machine-generated telemetry flag to rule out sensor spoofing, maintenance errors, or third-party interference before a Stepback is legally active.

#### **Human-in-the-Loop procedures:**

- The PCC technical staff assigns a human analyst within 4 hours of dashboard logging.
- The analyst reviews: sensor calibration status; maintenance schedules; correlation with independent verification sources (satellite, environmental sampling, physical inspection); and pattern analysis for spoofing indicators.
- The analyst selects one of three determinations: (i) confirm the anomaly as valid; (ii) flag for further investigation (7-day technical review); or (iii) dismiss as false positive with written explanation.
- No automated penalty, stepback, or escalatory action bases itself solely on an AI-generated flag without human confirmation.
- Where the false positive rate exceeds 15% in any quarter, the Technical Working Group recalibrates the AI system.

**Emergency Exception:** In the event of a confirmed Tier 3 Deliberate Hostile Violation involving fissile material diversion, the emergency exception waives the 24-hour Human-in-the-Loop requirement. The AI flag triggers immediate PCC emergency consultation within 4 hours. This is the only exception.



## II.3 Tiered Stepback Execution

Where the Human-in-the-Loop review confirms the deviation, the agreement executes a graduated, proportional rollback rather than a systemic termination.

### **Tier 1 — Technical Variance (Green-Amber)**

**Trigger:** Confirmed Level 2 anomaly; single-module technical deviation; no evidence of bad faith.

**Response:** An immediate mandatory consultation window opens (72 hours). Core benefits remain unimpacted. The PCC technical team conducts enhanced review. No financial, military, or nuclear penalties attach.

**Examples:** Sensor calibration drift; scheduled maintenance delay without notice; single anomalous reading without pattern; administrative reporting delay under 12 hours.

### **Tier 2 — Material Disruption (Amber-Red)**

**Trigger:** Confirmed Level 3 anomaly; pattern of anomalous readings; unscheduled downtime over 4 hours; confirmed procedural violation; or PCC determination of bad-faith procedural delay.

**Response:**

- The current 30-Day Stabilization Block pauses.
- Discretionary Political Funds designated under Module Gamma freeze.
- Baseline security commitments remain active.
- Humanitarian protections (medicine, food, medical equipment) remain fully operative.
- OFAC general licenses survive.
- The PCC convenes an emergency session within 48 hours to assess the remediation timeline.

**Examples:** Continuous monitoring offline 6+ hours without explanation; failure to submit required inventory data within 72 hours; pattern of seal tamper alerts (3+ in 30 days); HEU cylinder movement without IAEA notification.

**Tier 3 — Hostile Breach (Red)**

**Trigger:** Confirmed Level 4 anomaly; evidence of fissile material diversion; deliberate sensor tampering or falsification; kinetic military violation within the buffer zone; confirmed espionage using Framework access; or confirmed fissile material diversion (MUF exceeding significant quantity).

**Response:**

- Total escrow freeze across all affected Modules.
- Naval stand-off postures revert to pre-Framework distances.
- The framework refers the matter to the Guarantor Matrix for consensus determination.
- Survival Core Architecture (hotline, humanitarian corridor, diplomatic channel) remains operative regardless.
- Executive Consultation Window opens within 12 hours.
- The framework architecture explicitly decouples compliance penalties from use-of-force authorization. No automatic military escalation attaches.

**Examples:** Fissile material diversion exceeding significant quantity; deliberate sensor network compromise; kinetic engagement within the 3-nm exclusion zone; use of Framework verification access for non-Framework intelligence collection.

| ELEMENT                             | TIER 1<br>(TECHNICAL) | TIER 2 (MATERIAL)                  | TIER 3 (HOSTILE)                                 |
|-------------------------------------|-----------------------|------------------------------------|--------------------------------------------------|
| <b>Trigger</b>                      | Level 2 anomaly       | Level 3 anomaly; pattern violation | Level 4; diversion; deliberate tampering         |
| <b>Human-in-the-Loop</b>            | 24-hour review        | 24-hour review                     | 4-hour emergency (waived if diversion confirmed) |
| <b>30-Day Block</b>                 | Continues             | Paused                             | Frozen                                           |
| <b>Political Discretion Fund</b>    | Unaffected            | Frozen                             | Frozen                                           |
| <b>Humanitarian Firewall</b>        | Protected             | Protected                          | Protected                                        |
| <b>OFAC Licenses</b>                | Survive               | Survive                            | Survive                                          |
| <b>Hotline / Diplomatic Channel</b> | Active                | Active                             | Active (Survival Core)                           |
| <b>Naval Stand-Off</b>              | Maintained            | Maintained                         | Reverts to pre-Framework                         |
| <b>Escrow</b>                       | Continues             | Module-specific pause              | Total freeze                                     |
| <b>Guarantor Matrix</b>             | Not involved          | Notified                           | Mandatory referral                               |

## II.4 Humanitarian Firewall

The following elements constitute the Humanitarian Firewall and survive all Stepback tiers:

- The \$250 million humanitarian tranche (medicine, food, medical equipment) released via Swiss-Omani escrow on Day 1;
- OFAC general licenses for humanitarian trade, renewed automatically every 90 days;
- The IRGC-Navy direct hotline, tested daily at 06:00 UTC;
- The political consultation channel through Oman;
- JHTA humanitarian cargo fast-track permits (zero fee, 24-hour processing);
- The Survival Core Escrow Fund (\$50 million), held separately from all other escrow sub-accounts.

No Stepback action — Tier 1, Tier 2, or Tier 3 — impairs, suspends, or delays any Humanitarian Firewall element. This provision is non-waivable and both Parties cite it in all domestic, international, and diplomatic fora.

# ARTICLE III: THE EARNBACK MECHANISM

OPERATIVE AND BINDING

## III.1 Right to Restoration

Any Participant penalized under the Stepback Protocol retains an institutional, non-negotiable right to restore frozen benefits by fulfilling specific, verifiable technical benchmarks. Stepback is not punishment. It is a pause. Earnback is not forgiveness. It is verified performance.

Earnback principles:

- Earnback is automatic upon verified satisfaction of remediation criteria. Once benchmarks are met, political negotiation, PCC vote, and Party consent are all unnecessary — restoration executes immediately.
- Earnback restoration occurs within 24 hours of PCC certification that benchmarks are satisfied.
- Earnback does not erase the record of the underlying deviation. The transparency dashboard maintains a complete audit trail of all Stepback and Earnback events.
- Repeated deviations (three or more Tier 2 events within any 180-day period) trigger accelerated review but do not extinguish the right to Earnback.

## III.2 Earnback Verification Pathways

Frozen funds, access privileges, or reciprocal political gestures automatically unfreeze and restore upon satisfaction of the following criteria:

| ORIGINAL TIER                   | EARNBACK BENCHMARK                                                                                                                                                                   | VERIFICATION METHOD                                                                                                                                                      | RESTORATION TIMELINE                                                            |
|---------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------|
| Tier 1<br>(Technical Variance)  | Verified technical reset or manual inspector confirmation that the anomaly is resolved                                                                                               | IAEA inspector on-site confirmation; sensor recalibration log; PCC technical staff sign-off                                                                              | Instantaneous upon inspector confirmation. No PCC vote necessary.               |
| Tier 2<br>(Material Disruption) | Complete cessation of the non-compliant activity followed by 14 consecutive days of un-spoofed, clean telemetry data; the Participant delivers encrypted batch data to the PCC daily | SHA-3 cryptographic chain verification; AI audit layer confirms no anomalous patterns; dual-key IAEA-Iranian encrypted batch data clean for 14 days                      | 24 hours after PCC certification of 14-day clean period. Automatic.             |
| Tier 3 (Hostile Breach)         | Immediate consolidation of disputed materials or assets under exclusive dual-lock custody, subject to a consensus vote by the Guarantor Matrix                                       | IAEA dual-lock custody reactivated; disputed material under exclusive IAEA physical control; Guarantor Matrix consensus-minus-one vote certifies satisfactory resolution | 72 hours after Guarantor Matrix certification. Escrow unfreezes proportionally. |

### III.3 Over-Compliance Credit

Where a Participant completes a milestone ahead of schedule and maintains verified compliance during the accelerated period, the corresponding economic tranche releases proportionally earlier. The Participant banks over-compliance credits and applies them to future tranche conditions, earning ahead rather than waiting for rigid deadlines.

**Credit calculation:**

- **Temporal credit:** (days ahead of schedule / days in milestone window) × tranche value.
- **Scope credit:** Where a Participant exceeds a milestone requirement by 20% or more, a scope-based credit of up to 10% of the associated tranche value is certifiable by the PCC.
- Banked credits are applicable to any future tranche at the Participant's election, or redeemable for accelerated release of the current tranche.
- Over-compliance credit does not waive any verification requirement — all IAEA and PCC certification procedures remain mandatory.

### III.4 Political Discretion Fund Exemption

The Political Discretion Fund (\$50 million) is exempt from all Stepback penalties. No Tier 2 or Tier 3 penalty reduces, freezes, or delays disbursement from the Political Discretion Fund. Unanimous agreement of both Parties' heads of government (or pre-designated representatives at Deputy Secretary/Deputy Minister level or above) and the Swiss-Omani Escrow Agent triggers disbursement. This Fund exists for the gray zone — rewarding partial progress, building goodwill, and creating positive incentives that the automatic compliance architecture cannot provide.

# ARTICLE IV: DOMESTIC FRAMING SAVINGS CLAUSE

## OPERATIVE AND BINDING

### IV.1 Autonomy of Interpretation

Nothing in this Annex restricts either Participant from characterizing a Stepback or Earnback action to domestic legislative bodies or public audiences according to their respective constitutional and political requirements.

#### Permitted framing:

- The Executive Branch of Participant A (United States) frames a Stepback as an unyielding, automatic enforcement penalty — "sanctions snapped back because Iran cheated."
- The Executive Branch of Participant B (Islamic Republic of Iran) frames the same Stepback as a temporary, sovereignty-preserving technical adjustment that maintains long-term negotiating leverage — "a procedural pause, not a penalty."
- Neither frame invalidates the other. Both are accurate within their respective domestic contexts.

### IV.2 Prohibited Required Terminology

Neither Party imposes on the other any obligation to use terms including but not limited to: "concession," "recognition," "normalization," "capitulation," "surrender," "defeat," "victory," "snapback," "rollback," "punishment," or "reward." Each Party describes all Stepback and Earnback actions using terminology consistent with its domestic political requirements.

### IV.3 Narrative Dispute Resolution

Where a Party believes that the other Party's domestic framing crosses from protected interpretation into material misrepresentation that undermines public support for the Framework, creates confusion about what the Framework actually demands, or deliberately contradicts mutually agreed technical facts, the complaining Party requests a Narrative Dispute Resolution session.

The session is: facilitated by the Pakistan/Oman facilitation team; includes senior communications advisors from both Parties (not lawyers or negotiators); convened within 14 days of the request; held in private; and limited to 4 hours.

The facilitation team issues a non-binding finding. No penalties attach to framing disputes. This is a political process, not a legal one.

# ARTICLE V: 30-DAY STABILIZATION BLOCK SCHEDULE

OPERATIVE AND BINDING

The following tables establish the default reciprocal pairings for the 180-day stabilization period, organized in 30-Day Stabilization Blocks. Each Block pairs specific nuclear/maritime milestones with corresponding economic relief measures. The Stepback Protocol (Article II) and Earnback Mechanism (Article III) apply at every stage.

*Cross-reference: Adjustments are governed by the Adjustment Mechanism in Annex S, Article 5. The default schedule remains in force unless and until the Parties mutually agree to an alternative. In the event of a Tier 2 or Tier 3 Stepback, the affected Block pauses until Earnback benchmarks are satisfied, at which point the Block resumes from its paused state.*

## Block 1 (Days 1–30): Foundation — Mutual Escrow Deposit

| DAY | PARTICIPANT A (US) COMMITMENT                                                                                                                                     | PARTICIPANT B (IRAN) COMMITMENT                                                                                                                       |
|-----|-------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------|
| 1   | Deposit first 30-Day Stabilization Block (\$1B) into Swiss-Omani escrow: \$250M humanitarian tranche + \$250M partial structural relief                           | Place entire HEU stockpile under IAEA digital dual-lock (Pathway A default); declare freeze on HEU movement and enrichment                            |
| 3   | Issue OFAC general license for humanitarian trade (medicine, food, medical equipment, aviation safety parts) for 90 days                                          | Grant IAEA immediate access to all declared sites; begin physical inventory under Annex O                                                             |
| 7   | Transition 5th Fleet to stand-off posture (no patrols within 5 nm of Hormuz transit corridor) — activated upon IAEA confirmation that HEU consolidation has begun | IRGC forces withdraw to agreed stand-off distances (3 nm expanding to 5 nm by Day 14); activate IRGC-Navy hotline (daily 06:00 UTC test)              |
| 14  | Freeze all new nuclear-related sanctions designations for Framework duration; existing non-nuclear sanctions remain enforceable                                   | Complete HEU consolidation and inventory; dual-lock custody initiated and verified at Esfahan Tunnel Complex or designated facility                   |
| 30  | Block 1 Release: \$1B escrow released to Iran upon joint IAEA-PCC certification that both Parties met Block obligations                                           | Block 1 Verification: IAEA confirms HEU under dual-lock custody; enrichment freeze verified by OLEM; mothball status declared for non-core facilities |

## Block 2 (Days 31–60): Consolidation — Physical Verification

| DAY   | PARTICIPANT A (US) COMMITMENT                                                                                                   | PARTICIPANT B (IRAN) COMMITMENT                                                                                                    |
|-------|---------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------|
| 31–45 | Release \$250M in two equal increments (\$125M each on Days 45 and 60) conditioned on continued IAEA verification of compliance | IAEA confirms physical verification of 25% of HEU cylinders as intact and accounted for; continuous monitoring installed at Natanz |

|    |                                                                                                                                                              |                                                                                                                                          |
|----|--------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------|
| 45 | Day 45 Circuit Breaker: Where no agreement on final disposition exists, Pathway A (in-Iran downblending) activates as default; no financial penalties attach | Complete joint damage assessment per Annex O; provide IAEA with complete inventory of HEU cylinder locations and damage data per Annex P |
| 60 | Release 25% of remaining frozen assets; authorize civilian aircraft parts and agricultural goods trade                                                       | IAEA confirms physical verification of 50% of HEU cylinders; installation of continuous monitoring at Fordow complete                    |

### Block 3 (Days 61–90): Verification — Rotor Removal and Petrochemical

| DAY   | PARTICIPANT A (US) COMMITMENT                                                                                        | PARTICIPANT B (IRAN) COMMITMENT                                                                                                                           |
|-------|----------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------|
| 61–75 | Issue sanctions waiver for petrochemical exports to pre-approved customers (China, India, Turkey, Japan)             | Rotor removal at mothballed facilities: Iranian technicians remove rotors under IAEA supervision; sealed with serial numbers in tamper-evident containers |
| 75    | In-Iran default activates where no third-country destination is agreed; all sanctions relief continues uninterrupted | Commit in writing to Pathway A as default or select alternative pathway from the twenty-three-option menu                                                 |
| 90    | Release 20% of remaining frozen assets; authorize metals and minerals trade                                          | 60-day compliance certification: IAEA confirms 90 consecutive days of verified compliance (rolling window); rotor removal verified                        |

### Block 4 (Days 91–120): Normalization — JHTA and Dual-Blockade

| DAY    | PARTICIPANT A (US) COMMITMENT                                                                                                                  | PARTICIPANT B (IRAN) COMMITMENT                                                                                                                          |
|--------|------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------|
| 91–105 | Release 15% of remaining frozen assets; authorize automotive parts and textiles trade; Phase 1 SWIFT reconnection (pre-approved clearing hubs) | Permanent JHTA operational: dual-branded transit permits active; PGSA coordination protocols functioning; 180-day compliance review commenced            |
| 105    | Where pathway selection deadlock persists, the PCC facilitates negotiation without automatic economic or military consequences                 | Where no pathway is selected by Day 105, dispute is referred to the PCC for facilitated negotiation; in-Iran downblending continues as operative default |
| 120    | Release 10% of remaining frozen assets; 180-day compliance review complete                                                                     | IAEA confirms 120-day compliance certification; environmental sampling clean; no diversion of fissile material detected                                  |

### Block 5 (Days 121–150): Integration — SWIFT and Advanced Verification

| DAY     | PARTICIPANT A (US) COMMITMENT                                                                                             | PARTICIPANT B (IRAN) COMMITMENT                                                                                                                          |
|---------|---------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------|
| 121–135 | Full SWIFT reconnection authorization (Phase 2); Targeted Bank Isolation through pre-approved clearing hubs               | Permit IAEA complementary access inspections under Additional Protocol authority; air-gapped batch telemetry delivered to Swiss-Omani hub every 24 hours |
| 135     | US Dollar-for-Dollar Matching Facility activated; DFC \$10B + Lloyd's \$5B + Omani Fund \$5B = \$20B reinsurance backstop | Downblending of HEU stockpile commenced under IAEA supervision (if Pathway A selected); or transfer to Oman initiated (if Pathway B certified)           |



|            |                                                                                                                |                                                                                                                                      |
|------------|----------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------|
| <b>150</b> | Release 10% of remaining frozen assets; Joint Disposition Fund drawdown begins (\$1B facility, progress-based) | IAEA confirms downblending of 25% of HEU stockpile to medical-grade LEU or lower; or confirms transfer chain integrity for Pathway B |
|------------|----------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------|

## Block 6 (Days 151–180): Graduation — Performance-Based Expansion

| DAY            | PARTICIPANT A (US) COMMITMENT                                                                                                                              | PARTICIPANT B (IRAN) COMMITMENT                                                                                                                            |
|----------------|------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>151–165</b> | Full sanctions relief for all nuclear-related sanctions upon PCC certification of 90-day performance benchmarks; non-nuclear sanctions reviewed separately | Complete 90 consecutive days of IAEA-verified compliance (no Tier 3 violations, no more than one Tier 2 violation lasting fewer than 7 days during period) |
| <b>165</b>     | Political Discretion Fund (\$50M) available for goodwill projects, partial compliance rewards, and confidence-building measures                            | Written affirmation of permanent non-proliferation commitment (Nuclear Dignity Doctrine); pathway selection finalized or in-Iran default confirmed         |
| <b>180</b>     | Release remainder of frozen assets (up to 100% cumulative); Phase II permanent architecture negotiations begin                                             | IAEA issues full 180-day compliance certification; Phase I benchmarks complete; Technical Working Group convenes for Phase II pathway execution            |

## V.5 Block Summary with Stepback Triggers and Earnback Pairings

| BLOCK                | DAYS    | US RELEASE                      | IRAN MILESTONE                        | STEPBACK TRIGGER                                                             | EARNBACK PATH                                                                            |
|----------------------|---------|---------------------------------|---------------------------------------|------------------------------------------------------------------------------|------------------------------------------------------------------------------------------|
| <b>Foundation</b>    | 1–30    | \$1B escrow deposit             | HEU dual-lock custody                 | Failure to deposit escrow (US) or freeze HEU (Iran) = Tier 2                 | Deposit/freeze within 7 days = Tier 2 Earnback (14-day clean period)                     |
| <b>Consolidation</b> | 31–60   | \$250M + 25% assets             | 50% HEU verified                      | Verification delay >7 days = Tier 1; bad-faith obstruction = Tier 2          | Technical delay = no breach; obstruction ceases + 14-day clean = Earnback                |
| <b>Verification</b>  | 61–90   | 20% + petrochemical waiver      | Rotor removal; 60-day cert            | Rotor removal delay = Tier 1; failure to permit IAEA access = Tier 2         | Access restored + 14-day clean telemetry = Earnback                                      |
| <b>Normalization</b> | 91–120  | 15% + SWIFT Phase 1             | JHTA operational; 120-day cert        | JHTA non-cooperation = Tier 1; Hormuz closure = Tier 2                       | JHTA cooperation restored + 14-day clean = Earnback                                      |
| <b>Integration</b>   | 121–150 | 10% + SWIFT Phase 2             | AP access; 25% downblended            | Denial of AP access = Tier 2; telemetry falsification = Tier 3               | Access restored / falsification corrected + dual-lock = Tier 2–3 Earnback                |
| <b>Graduation</b>    | 151–180 | Remainder + full nuclear relief | 90-day clean compliance; 180-day cert | Tier 3 violation during window = full escrow freeze; rolling clock reduction | Violation ceases + 14-day clean = clock resumes (not reset); Guarantor Matrix for Tier 3 |

## **V.6 De Minimis Buffer**

In calculating compliance for Earnback purposes, the following do not count as violations and do not reset the compliance clock:

- Single-day OLEM data transmission interruption under 2 hours, resolved within 24 hours;
- Administrative reporting delay under 12 hours;
- Seal tamper alert subsequently determined to be equipment malfunction;
- Scheduled maintenance with 48 hours' advance notice.

Neither Party invokes a de minimis error as grounds for Stepback.

## **V.7 Rolling Compliance Window**

Compliance is measured on a rolling 90-day window, not a fixed period with resets. A Tier 2 violation reduces the compliance percentage by 10 days for each day the violation persists, capped at a 30-day reduction. The clock does not reset to zero. Full compliance restores when the rolling 90-day window contains no uncured Tier 2 violations lasting more than 7 days, and no Tier 3 violations. This structure makes gaming mathematically difficult.

## ARTICLE VI: INCORPORATION BY REFERENCE

### OPERATIVE AND BINDING

The Parties incorporate this Annex into any existing or future agreement through the following sentence:

*"The Parties adopt Annex T (Adaptive Stabilization and Compliance Resilience Matrix) as an operative provision of this Agreement. In the event of any inconsistency, Annex T governs with respect to the graduated response to compliance deviations, the modular isolation of compliance sectors, and the restoration of benefits upon verified remediation."*

No further amendment of the parent framework is necessary. This Annex enters into force upon the later of:

- Signature by both Parties; or
- The effective date of the parent framework incorporating it.

**Relationship to Annex S:** Where both Parties incorporate Annex S and Annex T into the same parent framework, Annex T governs with respect to all compliance deviation responses, Stepback procedures, and Earnback restorations. Annex S governs with respect to the baseline sequencing schedule, which remains operative subject to the Stepback and Earnback overlay provided by Annex T.

## ARTICLE VII: PROVISIONAL APPLICATION

### *OPERATIVE AND BINDING*

The Parties apply this Annex provisionally for a period of 90 days, pending formal ratification or incorporation into a parent framework. The Parties effect provisional application through an exchange of diplomatic notes. During provisional application, all provisions of this Annex are operative and binding, including the full Stepback Protocol and Earnback Mechanism.

Either Party terminates provisional application with 14 days' written notice.

*Note: Provisional application under this Article is symmetric — either Party initiates termination, and the framework does not lock either Party into indefinite provisional obligations without a path to formalization. All Humanitarian Firewall elements remain operative during the 14-day termination notice period.*

## ARTICLE VIII: SEVERABILITY

### *OPERATIVE AND BINDING*

Where a court of competent jurisdiction or arbitral panel finds any provision of this Annex unenforceable, the remaining provisions remain in full force and effect.

The Parties promptly negotiate a replacement for any provision found unenforceable, preserving the original intent to the maximum extent possible. In particular, where a court finds the Firewall Principle (Article I.2) unenforceable in any jurisdiction, the Parties negotiate an alternative modular architecture that achieves the same structural isolation of compliance sectors.

## ARTICLE IX: DURATION AND WITHDRAWAL

### *OPERATIVE AND BINDING*

This Annex remains in force indefinitely, unless:

- Both Parties agree in writing to terminate it; or
- The parent framework incorporating it terminates, and the Parties do not reaffirm this Annex within 90 days of such termination.

The framework prohibits withdrawal from this Annex absent simultaneous withdrawal from the parent framework. This Annex is integral to the compliance resilience architecture and no Party severs it unilaterally. The Stepback Protocol provides the only lawful mechanism for responding to deviations — unilateral withdrawal from this Annex constitutes a Tier 2 Material Disruption.

SIGNATURE BLOCK

For the Islamic Republic of Iran:

Name: \_\_\_\_\_

Title: \_\_\_\_\_

Date: \_\_\_\_\_

For the United States of America:

Name: \_\_\_\_\_

Title: \_\_\_\_\_

Date: \_\_\_\_\_

For verification purposes (IAEA, if applicable):

Name: Rafael Mariano Grossi, Director General

Date: \_\_\_\_\_